Aug 18, 2025

Cardboard Caravan – Ops & Supply Chain Team Meeting "Vendor Capacity Issue" – Transcript

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Alex: Thanks everyone for making the time. The purpose today is pretty straightforward: diagnose what's going on with our supply chain disruptions, figure out immediate mitigations, and um, lay the groundwork for longer-term vendor solutions. For now, it's just us in Ops and Supply Chain — but some action items will definitely pull in Finance, Sales, maybe even Legal.
Maria: Yeah that makes sense.
James: Yep, I'm aligned.
Samantha: Let's get into it.

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Alex: Okay, so I'll kick us off, uh, with the numbers. Over the last six weeks, our on-time delivery rate has averaged, um, seventy-eight percent. We normally sit closer to ninety-five percent. That drop is, I mean, it's almost entirely traceable to Vendor A. You know, we're seeing late shipments, incomplete shipments, and just inventory shortages.
Maria: Yeah, you know, inbound delays from Vendor A are, like, they're consistent. It's two to three days late on average, and then when they do deliver, it's all bunched up. That throws off our, um, our trucking schedules.
Samantha: Oh, it's, it's chaos in the warehouse. We had four partial orders last month because the full stock wasn't on hand when we needed to pick and pack. My team is, you know, we're spending hours firefighting.
James: I just want to quantify this. Vendor A's contract was for ten thousand units a month. We're asking them for closer to fourteen thousand. They never re-committed to that level. They're, like, over capacity, and it, uh, it shows.

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Alex: So, we all, we all see the same thing. It's not, like, a temporary hiccup, it's a structural mismatch between our demand and their capacity.
Maria: Exactly. I mean, if we keep leaning on them without changes, it's only going to get worse as we grow.
Samantha: Yeah, and my team's morale is, is suffering. People feel like, you know, no matter how hard they work, they're always behind because product isn't, um, isn't arriving consistently.
James: Plus we're, you know, we're straining the relationship with customers. They don't care about our vendor's capacity, they just want product, um, product on time.

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Alex: Okay, so let's, let’s dig into Vendor A’s performance. James, can you, can you walk us through the data?
James: Yeah, sure. Um, over the last quarter, they missed forty percent of scheduled delivery windows. Their defect rate also, you know, ticked up slightly, though that’s, that's kind of secondary to timeliness. The real story is they don’t have the, uh, the workforce or the equipment to scale with us.
Maria: And you know when they miss, they, they just batch the deliveries. Instead of two trucks spaced across the week, we get one overloaded truck late Thursday night. That, I mean, that creates bottlenecks downstream.
Samantha: Oh my gosh. Last Thursday was, um, it was a nightmare. One truck arrived at, um, ten p.m., my team had to unload overnight, and then we were back at seven a.m. Friday to pick and ship. That is just, that is not sustainable.
Alex: So do we, do we think this is fixable with Vendor A, or do we, do we think it’s just systemic?
James: You know, they’ve, they’ve hinted at adding capacity, but realistically, that’s, you know, that's six months out. And even then, I’m not convinced they’re, um, they're strategically aligned with our growth.
Maria: I would agree. Their, their, their scale-up track record is, is pretty weak.

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Alex: Okay. So, so the takeaway here is that Vendor A, um, they can't reliably support our growth. We need short-term patches, but long-term, this is a, this is a vendor reassessment issue.
Samantha: Yep.
James: Agreed.

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Alex: Okay, so let’s, let’s shift to stopgap options. What can we do in the next four to eight weeks, um, to stabilize things?
James: So, one option, I mean, is to reallocate some orders to Vendor B. They have excess capacity, but at, um, about an eight percent higher unit cost.
Maria: Vendor B ships out of the Midwest though, um, not the East Coast. That, that adds transit time and will, you know, it’ll force me to rework some of our trucking schedules.
Samantha: But from my end, predictability is, like, more important than squeezing every cent. Partial orders, like, are, they're just killing us.
Alex: Okay. Could we, could we run a hybrid model? You know, shift twenty-five percent of volume to Vendor B temporarily?
James: That, that’s feasible. Vendor B confirmed they could absorb that immediately.
Maria: If it’s, if it’s just twenty-five percent, I, I think I can adjust. We’d need to, um, we’d need to budget for more line-haul capacity.

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Alex: So, let’s, let’s talk about that a little more, the hybrid model. Um, Maria, what exactly are we looking at in terms of, like, transit time and adjustments, like, if we shift a quarter of our volume?
Maria: Well, I mean, it's, it's a few things. So, the direct transit time, you know, from the Midwest is, it’s about a day longer. So instead of a two-day truck trip, it becomes a three-day trip. Which, you know, isn’t, it’s not the end of the world, but it, um, it requires a little more lead time for our order planning. And then we’d have to, we’d have to, you know, use a different fleet of carriers and probably, you know, we'll need to use a slightly different routing software. I’m thinking we, you know, we could use our current brokers, but they'd have to, um, they'd have to source different trucks.
James: Okay, so this is, I mean, this is not a seamless transition.
Maria: No, no, it's not. But it's, I mean, it's doable. I’d just, you know, I'd need to start running some, uh, some projections, like, probably this week, on the new routes. And also, you know, we'd need to consider the cost of that extra day of transit on, you know, on all the, the fuel and, um, and driver time.
Samantha: I think it's, I think it's a cost we need to, um, absorb. I mean, we're already paying for it anyway. Like, my team is working overtime, we’re paying for, um, we’re paying for expedited shipping just to, just to get us, you know, back on track. So, um, I mean, maybe the higher unit cost is, is still cheaper than the chaos we're dealing with now.

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Samantha: I have, um, another idea. Can we, can we stagger production with Vendor A? If they, you know, if they can't hit fourteen thousand monthly, maybe we break orders into smaller batches?
James: They've been, um, they've been resistant to that. Their, their production runs are just, they're inflexible. Smaller batches, um, might actually, you know, it might reduce their efficiency.
Alex: Okay. So the cleanest short-term option is, um, Vendor B, even with the higher costs.
Maria: I’d, I’d support that, but we need, um, we need Finance’s blessing on the, uh, on the cost increase.
Alex: Action item noted. I'll make sure to flag that for them.

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Alex: So, James, let's, um, let's look at Vendor B a little more. What do we know about their, uh, their current on-time performance? I mean, we, we can't just move this problem to, you know, a different vendor.
James: Right, right. So their, uh, their current on-time rate is about ninety-two percent, and their, their fill rates are consistently, you know, over ninety-eight percent. They’re, you know, they’re solid. They've been, you know, they've been a good partner on our smaller, more, um, you

know, more niche products. Um, their, their facility is more modern, and they, they've invested in a, you know, in a new line that they were, um, you know, that they were looking to fill, which is, which is where the excess capacity came from.
Maria: So, I mean, their, their reliability sounds, um, sounds good. I guess it's just a matter of, you know, does the, does the cost and the, the logistics challenges, do they, um, do they outweigh the, you know, the benefit of having a reliable partner right now?
Samantha: I just, I really think the predictability is the biggest benefit. Um, you know, from my team's perspective, like, we can plan our day. We can, you know, we can staff correctly. You know, we won't have people sitting around waiting for a truck and then, you know, suddenly having to, to work all night. I mean, you can't, you can't put a price on that.
James: I agree, you know, and this is, um, this is what we need to get through the next few weeks while we figure out a, you know, a longer-term solution.

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Alex: Okay. Let's, let's move to long-term resolution. If we're, you know, if we're evaluating new vendors, what, um, what criteria matter most?
James: So, uh, capacity to scale with us. You know, at least twenty thousand monthly units, um, with flexibility to expand.
Maria: And location diversity. We should, um, we should think about not putting all our eggs in one hub again. Having vendors in, like, different regions gives us resilience.
Samantha: And then, um, integration with our warehouse systems. If they can't, you know, plug into our, our ERP cleanly, my team, you know, my team suffers.
Alex: And reliability, too. We can't just, you know, just chase capacity. We need consistent performance.

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Alex: So let's, um, let's unpack these a little. Uh, James, when you say capacity to scale with us, what, what does that really mean in terms of, like, a five-year plan?
James: You know, it, it means they need to be, um, they need to be able to grow with our, you know, our projected growth, which is, you know, like, ten to twenty percent year over year. So, if we're looking at, um, you know, at twenty thousand units now, in five years we could be at, like, thirty, maybe forty thousand. And they need to, you know, they need to have a clear roadmap for adding new lines, um, and new, you know, new facilities. We need to see that, that vision from them.
Maria: And, you know, on the location diversity, like, I think we should, um, we should have a vendor on the West Coast, too, not just in the, um, in the East and Midwest. It gives us, you know, a lot more, um, a lot more options for, like, servicing different markets and, and, you know, just protecting against, you know, a natural disaster or, you know, a regional power outage. It just, it's, it makes us more resilient.
Samantha: And on the, on the integration piece, I mean, we really, you know, we need to have a, um, a seamless flow of, of data. It's not just, you know, getting a PO in a spreadsheet and then, you know, manually uploading it. We need, you know, we need to be able to see their

inventory levels in real-time, we need to be able to, um, track shipments without having to, you know, call or email. Like, it just has to be, um, it just has to be an integrated partnership.

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James: Okay, so, I'll, I'll start drafting a vendor requirements doc. So, capacity, cost, location, reliability, and, and integration. I'll also do, um, a light-touch market scan this week, um, just to see what's out there.
Maria: I'll map the, um, the logistics implications of shifting vendors, so, you know, freight cost, transit time, and, and hub adjustments.
Samantha: And I'll, um, I'll document the warehouse pain points. That way, we don't, um, you know, we don't overlook operational headaches when we're evaluating options.
Alex: Okay, perfect. Once we, um, once we have those, we can bring in Finance and Sales for a broader review.

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Alex: So what, what do we think the, the timeline is here for finding a new vendor? I mean, is this a, um, is this a three-month process? Six?
James: It, you know, it depends on, you know, on how quickly we, um, we can get this requirements doc nailed down. And then, you know, how quickly we can, you know, we can get a short list of, um, you know, of potential new vendors. I'd say, um, you know, with, with sourcing and due diligence, you know, we're probably looking at, um, at four to six months before we, you know, before we have a new vendor, you know, fully onboarded.
Maria: And that, you know, that sounds right. We need to, um, we need to do it right. We can't just, you know, rush into another bad situation.
Samantha: Yeah. And I, I think the, um, the hybrid model with Vendor B, you know, that should, that should give us some, some breathing room to, to do this correctly.

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Alex: All right. So, let's, let's just, um, let's summarize the action items. James will, um, compile vendor performance metrics, draft the requirements doc, and begin a market scan. Maria to, um, map the logistics implications of a vendor shift. And, um, Samantha will document warehouse challenges to, to inform the vendor evaluation. And I will, um, prep a cross-functional briefing for Finance and Sales.
Samantha: Let's just, um, let's make sure Finance is looped in quickly. Um, you know, we're, we're already paying for all these inefficiencies.
Alex: Agreed. The target is, um, is next week for a cross-functional briefing.

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Alex: So what, um, what do we need to, um, what do we need to have prepared for that briefing next week? Um, Maria, what, what will Finance need to see from you?
Maria: They'll need to see, um, you know, the, the cost breakdown. So, you know, what are the, um, the increased unit costs, what are the, um, the increased freight costs, and, you know, what

are the, you know, what are the savings in, like, overtime and, and, you know, damage and, and things like that. I'll try to, um, I'll try to put together a, a full cost-benefit analysis.
Alex: Great. James, anything to add on that?
James: I'll, um, I'll make sure to have the, um, you know, the Vendor B data, you know, ready and, you know, on hand to, um, to show them.
Alex: Okay, perfect. And then, you know, Samantha, your, your input is going to be, um, you know, so critical, you know, for, um, for showing the, the real, you know, the real human cost of this.
Samantha: Yeah, I'll, I'll try to, you know, quantify it. You know, like, how many hours of, you know, of overtime are we talking about, um, how many, you know, how many, um, how many times has a, you know, a late shipment caused us to, you know, miss a, a promised delivery window.

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Maria: Okay, so, um, so short-term we, you know, we shift twenty-five percent to Vendor B, long-term we're moving, you know, toward a new vendor evaluation.
James: That, that sums it up.
Samantha: Works for me. At least my team will, you know, see some relief soon.
Alex: Great. Thanks, everyone. Next week, we regroup, you know, with Finance and Sales.

Transcription ended after 01:00:15